

HSBC Holdings plc

Strong performance led by NII; Expect upgrades for 26E with Adj ROTE now targeted at 17+% 26-28E

HSBC reported a strong set of 4Q results with Underlying PBT 9% ahead of expectations, with Banking NII 6% ahead supported by higher HIBOR and strong deposit growth, and Fees 1% below although with Wealth +20% y/y and Transaction Banking +1% y/y. Costs were in line with \$0.6bn of savings recognised in FY25 (vs original guidance of \$0.3bn), while Impairments were 12% below with an immaterial charge from HK CRE whereby the HK CRE credit-impaired coverage ratio still remains low at 14%. The Group's new targets are slightly above consensus expectations for annual revenue growth which is targeted to rise to +5% y/y in 28E (vs cons growth in 26/27E and +4.2% in 28E), underlying ROTE of 17% or better across 26-28E (vs cons 16.6% 26E, 17.0% 27E, 16.6% 28E JPM), alongside a 50% dividend payout ratio. For 2026E, Banking NII is expected at at-least \$45bn (vs cons \$43.51bn) supported by deposit growth while loan growth targets have been withdrawn, Cost growth of c1% which implies a cost base of \$33.8bn 26E (vs cons \$34.3bn) through \$1.3bn of realised savings which may raise questions as to the level of investment into the Group. On Hang Seng, the Group targets benefits of \$0.9bn by 28E including \$0.3bn cost synergies which is in line with our expectations, \$0.2bn revenue synergies (although we note more optimistic expectations in the market) and \$0.4bn of additional revenue and cost opportunities with limited detail at present. Further upside is expected from asset quality improvements and further investments into HSB. The Group's reported CET1 of 14.9% was ahead of consensus, and with a slightly reduced impact from HSB at 110bps net, we could see an earlier return to share buybacks in 1Q26 compared to previous guidance of 2Q26. Overall, we expect MSD% upgrades to consensus EPS for 26E driven by a stronger outlook for Banking NII and tighter cost management, with some upgrades to flow into outer years.

- **Noteworthy Areas:** 1) Banking NII of \$11.7bn was +6% ahead of company-compiled consensus, with Customer lending +1% q/q driven by UK mortgages and Commercial while International Wealth and HK weaker, and Customer accounts +3% q/q with growth across divisions with HK +\$24bn q/q, CIB + \$11bn q/q, UK +\$8bn q/q and International Wealth +\$7bn q/q. NII included \$0.1bn of non-repeatables in 4Q. 2) Fee & Other income of \$6.0bn was 1% below cons with a) Transaction Banking fee income 2% above cons (+1% y/y), b) Wealth income 1% below cons (+20% y/y) with growth in all products (including Investment Distribution +14% y/y, Insurance +49% y/y). The Group saw \$7bn of net new invested assets including -\$3bn outflows in Asia (vs \$5bn/- \$2bn in 4Q24, \$29bn/\$15bn in 3Q25); Net New Money (including wealth deposits and excluding 3rd party distributed AM assets) was \$26bn in 4Q including \$19bn from Asia. Other income within Fees was 10% below cons. 3) Costs of \$8.9bn were in line with PPOP of \$8.8bn 7% above cons. 4) Impairments of \$0.9bn (36bps CoR) were 12% below cons. 5) PBT (clean) of \$8.6bn was 9% above cons while stated PBT of \$6.8bn was 18% above cons. 6) CET1 of 14.9% was c20bps above cons with DPS of 45c vs cons 42c. 7) TNAV/Sh of \$9.64 (+42c q/q) was 3% above cons.

Neutral

HSBA.L, HSBA.LN

Price (24 Feb 26):1,291p

Price Target (Dec-27):1,190p

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- **Outlook & Guidance: 2026:** 1) Banking NII of at least \$45bn (vs cons \$43.51bn, JPMe \$43.379bn) reflecting deposit growth, hedge contributions and forward rates (below 4Q average/exit rates); 2) Cost growth of c1% from a baseline of \$33.5bn (implied at \$33.8bn) vs cons \$34.3bn; 3) ECL of c40bps (in line); 4) CET1 14-14.5% target range; 5) Simplification savings: c\$1.5bn savings from re-organisation to be delivered by YE26 (cumulative of \$1.3bn/\$1.5bn in-year 26/27E), with \$0.8bn restructuring expected in 26E. Reallocation of savings: \$1.8bn to be reallocated prev \$1.5bn) with the increase driven by HSB privatisation; 6) Notables: -\$0.7bn Fee and other income in 26E (\$(0.4)bn from potential sale of Malta, \$(0.2)bn from UK life insurance, \$(0.1)bn from South Africa and +\$0.1bn from Germany custody business), -\$0.6bn restructuring costs related to Hang Seng Bank by YE28.
- **Targets across 26-28E:** 1) Year-on-year revenue growth across 26-28E, rising to 5% revenue growth in 28E ex notables and constant currency (vs cons +1.5% 26E, +3.5% 27E, +4.2% 28E BBG); 2) ROTE 17% or better ex notables for 26-28E (vs cons 16.6% 26E, 17.0% 27E, 16.6% 28E JPMe); 3) Dividend payout ratio of 50% excluding material notable items. We note that Wealth Fee targets have been replaced by revenue targets.
- **Hang Seng privatisation:** 1) Targeted benefits of \$0.9bn by 28E o.w. \$0.5bn synergies including \$0.3bn costs, \$0.4bn of additional revenue and cost opportunities; 2) Net CET1 impact of 110bps, with day 1 capital impact of -120bps partly offset by 10bps of hedging market risk RWAs in 1Q; 3) Restructuring of \$0.6bn; 4) Mgmt see this as more accretive than a SBB with the recognition of minority interest P&L (\$0.8bn) and expected synergies (\$0.5bn).
- **Likely changes to consensus:** Overall, we expect MSD% upgrades to consensus EPS for 26E driven by a stronger outlook for Banking NII and tighter cost management, with some upgrades to flow into outer years.
- **Conference Call Details:** 7.45am UK [here](#).

Actual vs Expected:

Figure 1: HSBC - 4Q Group results

\$m

	4Q24	3Q25	4Q25e	4Q25 Cons	4Q25A	y/y	q/q	vs Cons.	vs JPMe
Banking NII	10,904	11,049	11,064	11,057	11,722	8%	6%	6%	6%
Fee and other income	5,600	6,851	5,697	6,088	6,001	7%	-12%	-1%	5%
o.w. Transaction Banking	2,532	2,608	2,380	2,571	2,615	3%	0%	2%	10%
o.w. Wealth	1,758	2,680	2,122	2,176	2,145	22%	-20%	-1%	1%
o.w. Other	1,310	1,563	1,195	1,372	1,241	-5%	-21%	-10%	4%
Underlying revenues	16,504	17,900	16,761	17,145	17,723	7%	-1%	3%	6%
Underlying costs	-8,498	-8,380	-8,978	-8,920	-8,905	5%	6%	0%	-1%
Pre-provision profit	8,006	9,520	7,784	8,225	8,818	10%	-7%	7%	13%
Loan loss provision charge	-1,362	-1,008	-1,004	-1,020	-901	-34%	-11%	-12%	-10%
Operating profit before tax	6,644	8,512	6,780	7,205	7,917	19%	-7%	10%	17%
Associate income	679	591	612	648	669	-1%	13%	3%	9%
Clean pretax profit	7,323	9,103	7,391	7,853	8,586	17%	-6%	9%	16%
Exceptionals	-5,046	-1,808	-2,091	-2,098	-1,784				
Pre-tax profit	2,277	7,295	5,300	5,755	6,802	199%	-7%	18%	28%
DPS (\$)	0.36	0.10	0.42	0.42	0.45	25%		7%	7%
TNAV/sh (\$)	8.61	9.22	9.25	9.38	9.64	12%	5%	3%	4%
B3 CET1 ratio transitional	14.9%	14.5%	14.6%	14.7%	14.9%				
Deposits	1,655	1,737	1,718	1,745	1,787	8%	3%	2%	4%
Customer loans (net)	931	983	972	979	988	6%	1%	1%	2%

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

HSBC Holdings plc (Neutral; Price Target: 1,190p)

Investment Thesis

While we rate HSBC's management highly and believe the group is on the right strategic path over the longer term, we see the investment case as balanced with the stock rated Neutral and trading at a premium to UK/European peers '27, although with ongoing trade uncertainties and reduced yields following the announced HSB acquisition. The Group's \$1.5bn restructuring plan is being executed in line with expectations, but we give limited credit to the Group from the \$1.5bn re-allocation of costs into higher returning areas until execution, with risks of delay in the current environment and uncertain revenue impact. Wealth remains a strong growth engine, which we forecast at a c14% CAGR, while we continue to highly value the Group's deposit gathering franchise. We expect FY26E NII to be flat. CRE is an ongoing risk in HK/CH with our CoR forecasts of c42bps annually and above target levels. Overall, we see underlying ROTE at c16.5% annually across 25-28E (vs mid-teens targets).

Valuation

Our sum-of-the-parts-based Dec-27 price target for HSBC of 1,190p is calculated using a blend of P/E (divisional and regional) on our 2028 estimates, with excess capital at 1x above 14% CT1.

HSBC SOTP

£ MILLION Division	Post Tax Profit 2028E	Allocated Equity 2028E	RWAs £ bn 2028E	RoE % 2028E	Valuation Basis	£ mn Value	£ Per Share	(x) PE	(x) P/BV
Hong Kong	6,470	15,653	111.8	41.3		71,171	4.44	11.0x	4.5
UK	4,246	17,812	127.2	23.8		42,458	2.65	10.0x	2.4
Commercial & Institutional	4,753	45,744	326.7	10.4		45,155	2.82	9.5x	1.0
International Wealth and Premier	3,721	10,247	73.2	36.3		33,490	2.09	9.0x	3.3
Corporate Centre ex-Associates/JVs	-37	9,532	68.1	-0.4		-337	-0.02	9x	0.0
Associates and JVs	2,027				Market Value 	14,737	0.92		
Minorities and prefs	59		0.0			534	0.03	9x	
Capital excess/ shortfall		2,518			1 times BV	2,518	0.16		1.0
HSBC Group Valuation (Dec-27)	21,239	101,505	707.054	20.9		209,725	11.90	9.9	2.1

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

- **Macro-economic risks:** HSBC is exposed to GDP growth in HK, SAR, and Greater China, the UK as well as FX and cross-border and political risks, which could pose both upside and downside risks. Similarly, the global interest rate and inflation outlook could have an impact on group margins, which may differ from expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growing above normalised levels in the medium term – with both upside and downside risks to this. This includes specific areas such as China, where the group has a large unsecured exposure, especially within offshore lending. Further, HSBC's stake in BoCom could present downside risk from a revaluation in the current environment.

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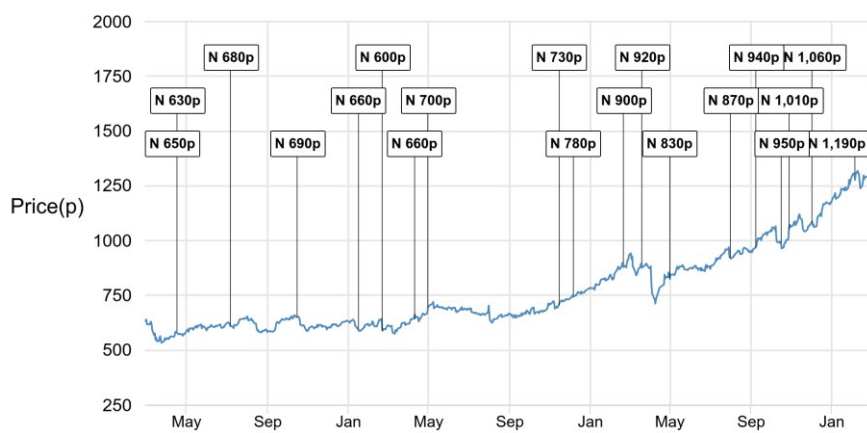
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HSBC Holdings plc (HSBA.L, HSBA LN) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 11, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
27-Feb-23	N	636	650
17-Apr-23	N	584	630
07-Jul-23	N	610	680
16-Oct-23	N	653	690
16-Jan-24	N	596	660
22-Feb-24	N	590	600
10-Apr-24	N	645	660
01-May-24	N	696	700
15-Nov-24	N	706	730
06-Dec-24	N	751	780
20-Feb-25	N	895	900
20-Mar-25	N	896	920
01-May-25	N	832	830
01-Aug-25	N	923	870
09-Sep-25	N	970	940
17-Oct-25	N	989	950
29-Oct-25	N	1050	1,010
02-Dec-25	N	1080	1,060
05-Feb-26	N	1308	1,190

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